
MACD
MASTERY
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📈 MACD: Momentum and Trend Reversals 📈

- **What is MACD?**
  - A momentum indicator that helps traders identify potential trend reversals and momentum shifts.
- **How it Works:**
  - Calculated by subtracting a longer-term EMA (26-period) from a shorter-term EMA (12-period).
  - This creates the MACD line.
  - A 9-period EMA of the MACD line is plotted as the signal line.
  - The difference between these two lines is often shown as a histogram.
- **Components:**
  - MACD Line: Shows the difference between the two EMAs.
  - Signal Line: Acts as a trigger line for potential buy/sell signals.
  - Histogram: Provides a visual representation of the MACD's momentum.

Key Takeaway:

- MACD is a versatile indicator that can be used to identify trend changes, confirm momentum, and generate trading signals.
- Use it in conjunction with other technical tools and price action analysis for a comprehensive view of the market. 🧠


International Business Machines Corporation · 1D · NYSE
O245.95 H261.96 L245.18 C261.54 +12.85 (+5.17%)
USD
261.54
250.00
240.00
230.00
220.00
210.00
200.00
MACD
Signal Line
Histogram
10.00
8.00
6.00
4.57
4.00
3.00
2.00
0.0000
-1.56
-4.00
6.7M
Oct
Nov
Dec
2025
Feb
Mar

📈 MACD: Beyond the Basics 📈

- MACD: A Versatile Indicator
  - Today, we'll explore non-conventional ways to use MACD.
- Four Powerful Techniques:
  a. MACD Crossover: Traditional crossover signals.
  b. MACD Divergence: Spotting momentum shifts.
  c. MACD Histogram Reversals: Identifying turning points in the histogram.
  d. MACD Support/Resistance: Using MACD levels for entries and exits.

Key Takeaway:

- By mastering these four techniques, you can use MACD in a more professional and nuanced way to improve your trading decisions.

📈 MACD Crossover: Not a Trading Signal (Yet!) 📈

- Traditional Crossover:
  - Buy Signal: MACD line crosses ABOVE the signal line.
  - Sell Signal: MACD line crosses BELOW the signal line.
- Crossover = Alert, Not Signal:
  - A crossover doesn't mean you should immediately buy or sell.
  - It's an alert that the trend MIGHT be changing.
- Confirm with Price Action:
  - After a crossover, analyze the price action:
    - Mark support and resistance levels.
    - Look for candlestick patterns or breakouts.
- Trade the Price Action:
  - Enter the trade based on the price action confirmation, NOT just the crossover.
  - Use appropriate stop-loss and target levels.

Key Takeaway:

- MACD crossovers can be helpful clues, but they shouldn't be used as standalone trading signals.
- Always confirm with price action analysis to increase the accuracy of your trades. 🧠


Jack Henry & Associates, Inc. · 1D · NASDAQ
O173.47 H176.35 L172.74 C174.05 +1.44 (+0.83%)
11
USD
190.00
188.00
186.00
184.00
182.00
180.00
178.00
176.00
174.05
172.00
170.00
168.00
166.00
164.00
162.00
E
D
E
D
2.00
0.0000
-0.8188
-1.10
-2.00
1M
632.98K
Oct
Nov
Dec
2025
Feb
Mar


Jack Henry & Associates, Inc. · 1D · NASDAQ
O173.59 H178.06 L173.59 C178.00 +4.41 (+2.54%)
11
USD
190.00
188.00
186.75
184.00
182.00
180.00
178.00
176.00
174.70
172.00
171.00
170.00
168.00
166.00
164.00
162.00
2.00
0.1362
−0.6373
−2.00
780.38 K
Nov
Dec
2025
Feb
Mar


Jack Henry & Associates, Inc. · 1D · NASDAQ
O183.70 H193.02 L183.35 C191.28 +7.77 (+4.23%)
USD
194.00
191.28
190.00
188.00
186.75
184.00
182.00
180.00
178.00
176.00
174.70
172.00
171.00
170.00
168.00
166.00
164.00
162.00
2.63
2.00
0.6491
0.0000
-2.00
1.3M
1M
Nov
Dec
2025
Feb
Mar
Apr


Tesla, Inc. · 1D · NASDAQ
O419.40 H427.00 L415.75 C417.41 −14.25 (−3.30%)
11
USD
480.00
460.00
440.00
417.41
400.00
380.00
360.00
340.00
320.00
300.00
280.00
260.00
240.00
220.00
200.00
40.00
32.67
27.97
20.00
10.00
0.0000
200 M
100 M
64.94 M
Oct
Nov
Dec
2025
Feb
Mar


Tesla, Inc. · 1D · NASDAQ
O423.79 H427.93 L402.54 C403.84 −13.57 (−3.25%)
11
USD
475.00
466.12
450.00
425.00
413.74
403.84
375.00
350.00
325.00
300.00
275.00
250.00
222.76
200.00
175.00
40.00
30.90
23.84
20.00
10.00
0.0000
−10.00
200 M
76.83 M
Sep
Oct
Nov
Dec
2025
Feb

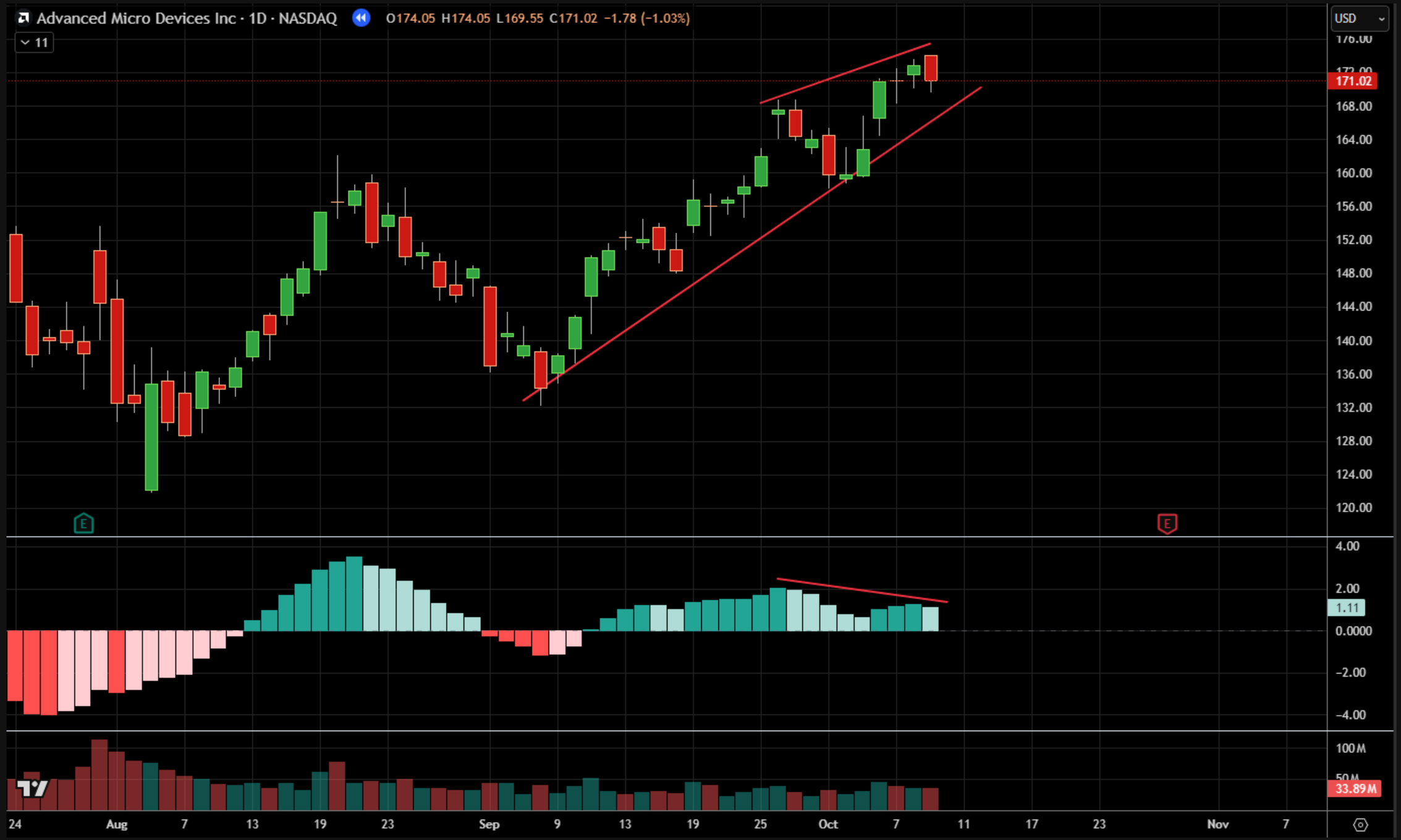

Tesla, Inc. · 1D · NASDAQ
O259.32 H266.25 L250.73 C262.67 −0.78 (−0.30%)
USD
467.54
415.16
262.67
224.18
Aug
Sep
Oct
Nov
Dec
2025
Feb
Mar

📈 MACD Divergence: Spotting Hidden Weakness 📉

- MACD's Versatility:
  - MACD helps you identify trends, measure momentum, and even gauge trend strength.
- Divergence: The Warning Sign * MACD divergence can reveal when a trend is losing steam.
- Histogram Divergence:
  - Often easier to spot divergences on the MACD histogram.
  - Look for the price making higher highs/lower lows while the histogram makes lower highs/higher lows.
- Divergence = Get Ready!
  - MACD divergence doesn't guarantee a reversal, but it's a strong warning sign.
  - Use price action analysis to confirm the potential reversal and time your entry.

Key Takeaway:

- MACD divergence is a valuable tool for identifying hidden weakness in a trend.
- By spotting these momentum shifts early on, you can make more informed trading decisions and protect your capital. 🛡️


Advanced Micro Devices Inc · 1D · NASDAQ
O174.05 H174.05 L169.55 C171.02 −1.78 (−1.03%)
11
USD
171.02
168.00
164.00
160.00
156.00
152.00
148.00
144.00
140.00
136.00
132.00
128.00
124.00
120.00
4.00
2.00
1.11
0.0000
−2.00
−4.00
100 M
33.89 M
24
Aug
7
13
19
23
Sep
9
13
19
25
Oct
7
11
17
23
Nov
7


Advanced Micro Devices Inc · 1D · NASDAQ
O164.19 H169.35 L163.01 C167.89 +3.71 (+2.26%)
11
USD
174.28
172.00
167.89
165.83
164.00
160.00
156.00
152.00
148.00
144.00
140.00
136.00
131.68
128.00
124.00
120.00
4.00
2.00
0.2499
-2.00
-4.00
100 M
42.14 M
Aug
7
13
19
23
Sep
9
13
19
25
Oct
7
11
17
23
Nov
7
13


Advanced Micro Devices Inc · 1D · NASDAQ
O138.19 H140.90 L137.21 C138.93 +4.03 (+2.99%)
11
USD
174.28
172.00
168.00
165.83
164.00
160.00
156.00
152.00
148.00
144.00
138.93
136.00
131.68
128.00
124.00
120.00
4.00
2.00
0.0000
−0.9624
−2.00
−4.00
100 M
38.78 M
Aug
Sep
Oct
Nov
Dec


Advanced Micro Devices Inc · 1D · NASDAQ
O98.88 H100.65 L96.39 C100.31 +1.46 (+1.48%)
Think MB or Helicopter
Maximum Stoploss: 5.09
USD
175.00
170.00
165.00
160.00
155.00
150.00
145.00
140.00
135.00
130.00
125.00
120.00
114.46
110.00
104.95
100.31
100.31
95.00
90.00
VUCA (-12.67%)
Momentum Weak
Base Quality - UDVR: 0.91
Cut Longs
VUCA
RS-STRONG UNDERPERFORMANCE
EOD_Volume = 33254.4K %EOD volume (avg) = 85.2
100 M
75 M
39.05 M
33.25 M
25 M
0
Oct
Nov
Dec
2025
Feb
Mar
Apr


Alibaba Group Holdings Ltd. · 1D · NYSE
O142.92 H145.36 L139.38 C140.62 +0.67 (+0.48%)
USD
145.00
140.62
135.34
128.80
125.00
120.00
115.00
110.00
105.00
100.00
95.00
90.00
85.00
80.00
75.00
2.00
-0.3042
-2.00
100 M
50 M
31.9 M
Sep
Oct
Nov
Dec
2025
Feb
Mar
Apr


Alibaba Group Holdings Ltd. · 1D · NYSE
O142.92 H145.36 L139.38 C140.62 +0.67 (+0.48%)
Think Master or Helicopter
Maximum Stoploss: 5.95
USD
148.00
140.62
140.62
136.00
132.00
128.00
124.00
120.00
116.00
112.64
108.00
104.00
100.00
96.00
93.67
92.00
88.00
84.00
80.00
76.00
SO
SO
E
E
Stock Extended (34.29%)
Momentum Strong
Base Quality - UDVR: 2.49
Stay Long
Volatility
RS-STRONG OUTPERFORMANCE
EOD_Volume = 31904.4K %EOD volume (avg) = 110.1
125 M
100 M
75 M
50 M
31.9 M
28.98 M
0
Oct
Nov
Dec
2025
Feb
Mar
Apr

🚦 MACD Histogram Reversals: Early Trend Change Signals 🚦

- Histogram Color Change:
  - Red to Green: Bullish reversal signal 🟢
  - Green to Red: Bearish reversal signal 🔴
- Momentum Shift: This color change indicates a potential shift in momentum.
- Early Warning:
  - The histogram reversal often occurs BEFORE the actual trend change in the price action.
- Get Ready:
  - When you see a histogram reversal, prepare for a potential trade:
    - Identify key support/resistance levels.
    - Watch for price action confirmation (candlestick patterns, breakouts).

Key Takeaway:

- MACD histogram reversals can provide early clues about potential trend changes.
- Use them to anticipate market shifts and time your entries more effectively. ⏱️


Meta Platforms, Inc. · 1D · NASDAQ
O625.37 H634.79 L600.61 C625.66 −2.27 (−0.36%)
USD
740.00
720.00
700.00
683.59
660.00
653.09
640.00
625.66
620.00
600.00
580.00
560.00
540.00
8.00
4.00
0.0000
−4.00
−8.00
−9.65
40 M
21.38 M
7
13
19
25
Dec
6
12
18
24
2025
8
15
22
28
Feb
7
13
20
Mar
7
13
19
25
Apr


Berkshire Hathaway Inc. New · 1D · NYSE
O496.29 H498.27 L490.11 C495.62 −2.22 (−0.45%)
11
USD
520.00
510.00
500.65
495.62
489.05
480.00
470.00
460.00
450.00
440.00
2.00
−0.2176
−2.00
10 M
3.84 M
23
Nov
7
13
19
25
Dec
6
12
18
24
2025
8
15
22
28
Feb
7
13
20
Mar
7
13

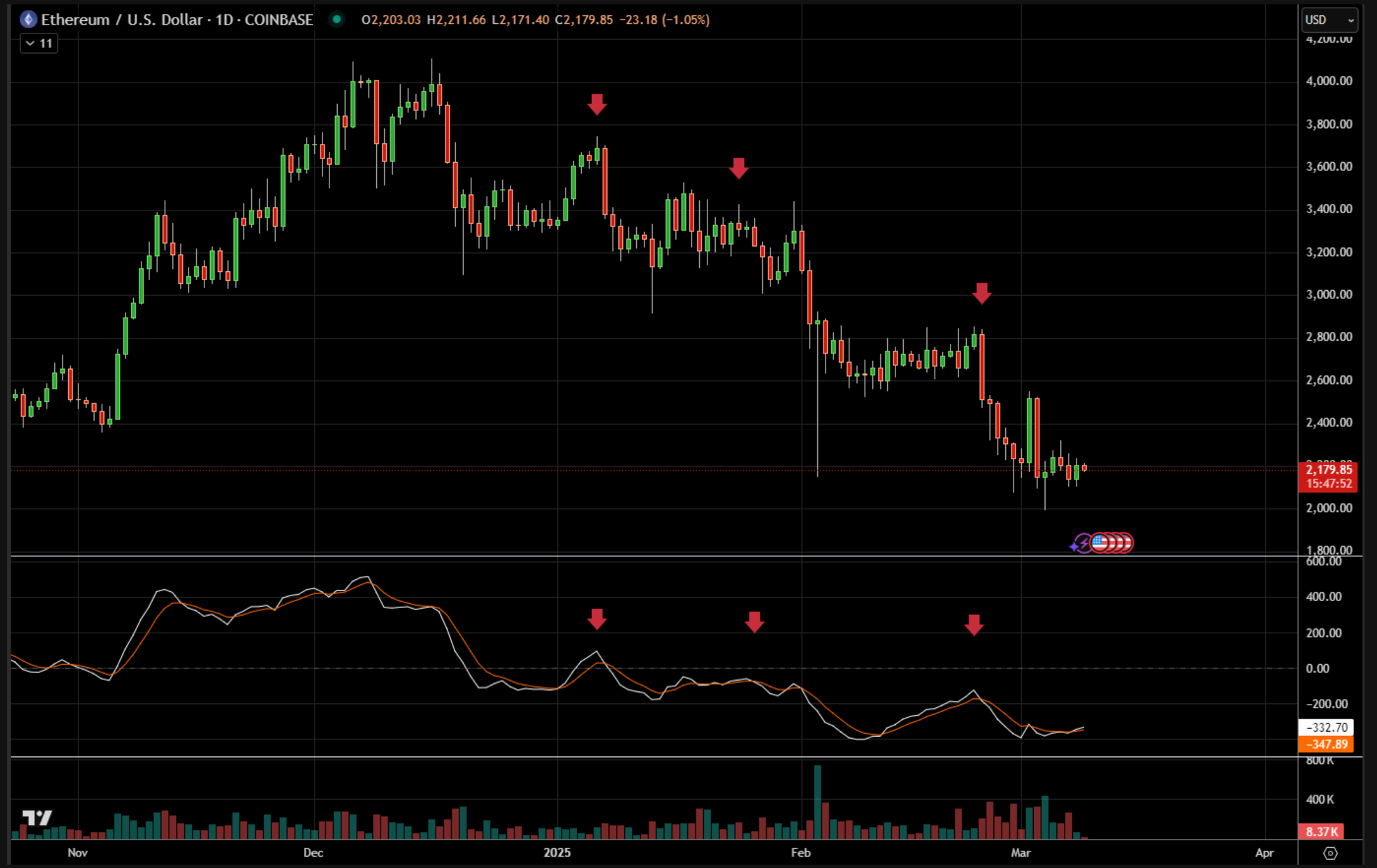
🔄 MACD as Dynamic Support/Resistance 🔄

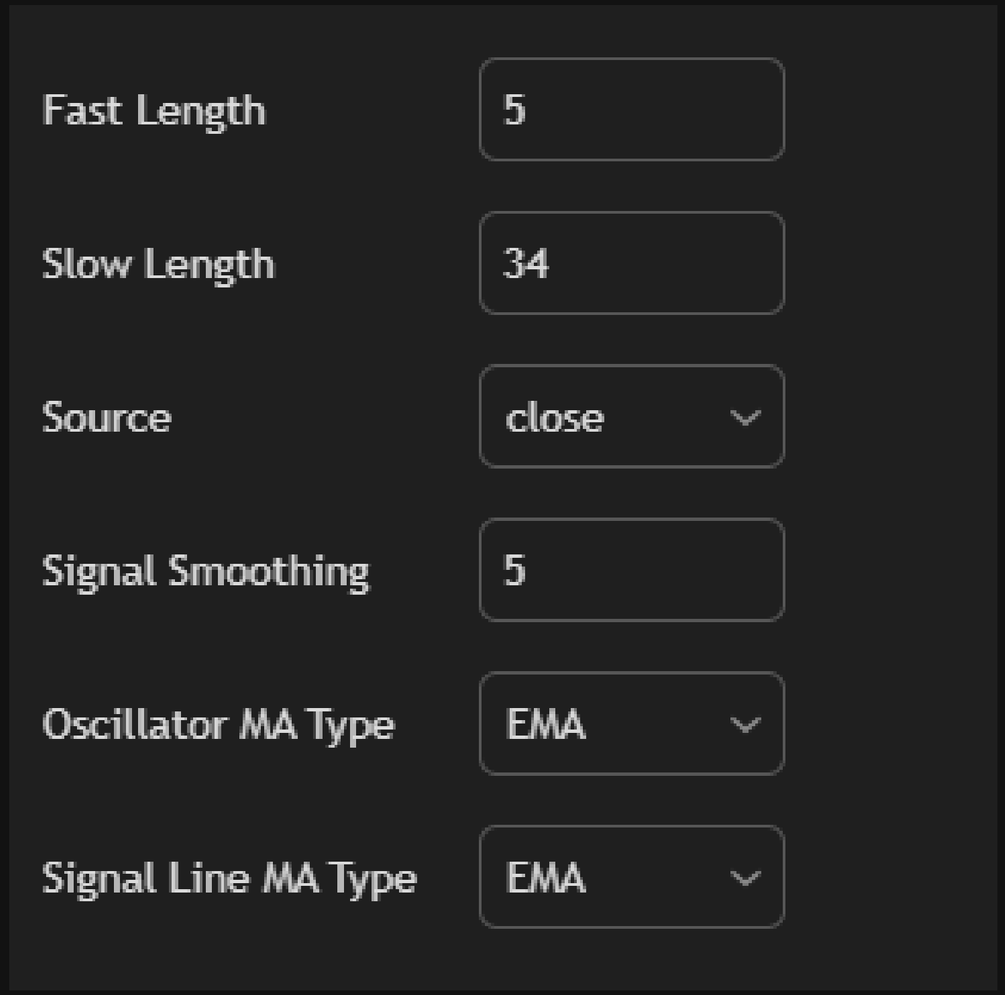
- Tweaking the Settings: Adjust the MACD settings to use the zero line as a key level.
- Zero Line as Support/Resistance:
  - In an ongoing trend, the zero line can act as dynamic support or resistance.
  - Look for the price to bounce or reverse at the zero line, especially during pullbacks or consolidations.
- Trading Opportunity:
  - When the price retests the zero line after a pullback, it can provide a high-probability entry point to rejoin the trend.

Key Takeaway:

- By using the MACD's zero line as dynamic support/resistance, you can identify key turning points and time your entries and exits more effectively.


Amazon.com, Inc. · 1D · NASDAQ
O239.01 H242.52 L238.03 C242.06 +4.64 (+1.95%)
11
USD
242.06
230.00
223.05
220.00
210.00
200.00
190.00
180.00
170.00
160.00
150.00
E
E
E
20.00
10.78
10.15
0.0000
−10.00
100 M
29.71 M
Aug
Sep
Oct
Nov
Dec
2025
Feb


Ethereum / U.S. Dollar · 1D · COINBASE
O2,203.03 H2,211.66 L2,171.40 C2,179.85 −23.18 (−1.05%)
11
USD
4,000.00
3,800.00
3,600.00
3,400.00
3,200.00
3,000.00
2,800.00
2,600.00
2,400.00
2,179.85
15:47:52
2,000.00
1,800.00
600.00
400.00
200.00
0.00
−200.00
−332.70
−347.89
800 K
400 K
8.37 K
Nov
Dec
2025
Feb
Mar
Apr


Fast Length
5
Slow Length
34
Source
close
Signal Smoothing
5
Oscillator MA Type
EMA
Signal Line MA Type
EMA



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